MICROECONOMICS

MICRO-38

Time: 5 minutes

Outcome: Apply Profit-Maximizing Output & Monopoly Price.

Difficulty: Intermediate

Profit-Maximizing Output & Monopoly Price

THE CORE IDEA

A monopolist chooses output where rising marginal cost equals marginal revenue, then uses demand to determine price. Produce units whose marginal revenue covers marginal cost. MR is compared with MC for output choice. Find Q from MR=MC, then read price from demand. Monopoly analysis is a two-step decision: marginal output choice first, demand-based price second.

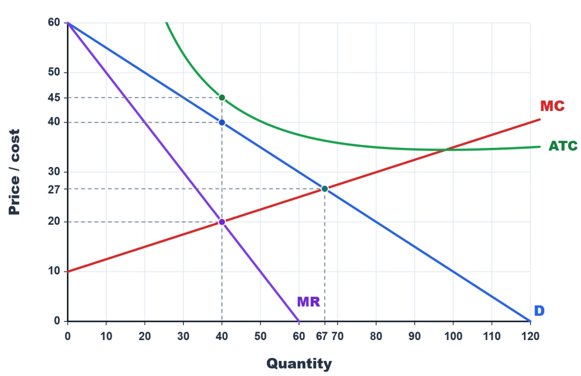
HOW TO RECOGNIZE IT

- Find output where rising marginal cost equals marginal revenue.
- Move vertically from that output to the demand curve to find the monopoly price.
- Keep the output decision and price decision separate: marginal conditions determine quantity, demand determines price.
- Do not set price equal to marginal revenue or marginal cost unless the graph happens to imply it.

WATCH OUT

A common mistake is to read monopoly price from the marginal-revenue curve. Find output where MR = MC, then read the price buyers will pay from demand.

WORKED EXAMPLE: FINDING MONOPOLY PRICE



The monopolist first finds output where MR = MC, which occurs at 40 units and a marginal value of $20. It then moves up to the demand curve, where buyers will pay $40 for 40 units. The profit-maximizing choice is therefore Q = 40 and P = $40, not the $20 MR value.

CHECK YOURSELF

What is the correct order for solving a monopoly graph?

READY? Return to the game and master this concept.